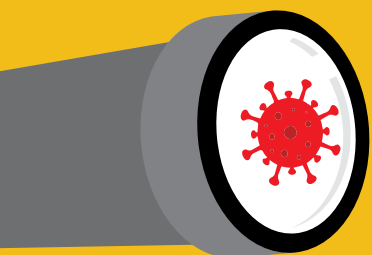


Finance Minister Nirmala Sitharaman will present the Union Budget—the last full one before the general elections next year—on February 1, with an objective to boost the Indian economy. Data shows that most of the key economic indicators have remained in positive territory during Prime Minister Narendra Modi's second stint despite the pandemic and other critical global headwinds. But the future may pose challenges for the Indian economy due to looming recessionary fears in advanced economies and the potential re-appearance of Covid-19 variants.

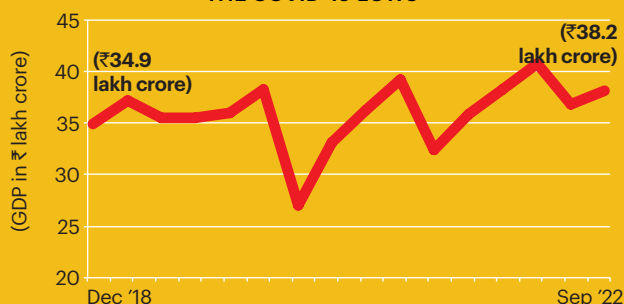
By **RAHUL OBEROI AND PRINCE TYAGI**

Graphics by **RAJ VERMA**



THE ROAD TO RECOVERY

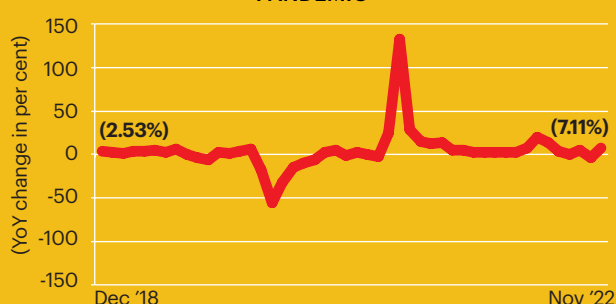
STEPS TAKEN BY THE GOVERNMENT AND THE RESERVE BANK OF INDIA HAVE HELPED THE GDP RECOVER FROM THE COVID-19 LOWS



Quarterly GDP figures at constant prices
Source: CMIE Economic Outlook

UPS AND DOWNS

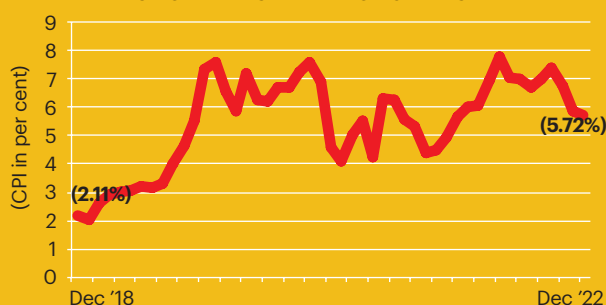
THE INDEX OF INDUSTRIAL PRODUCTION (IIP) HAS REMAINED HIGHLY VOLATILE DUE TO THE COVID-19 PANDEMIC



IIP figures are for respective months
Source: CMIE Economic Outlook

PRICING PAINS

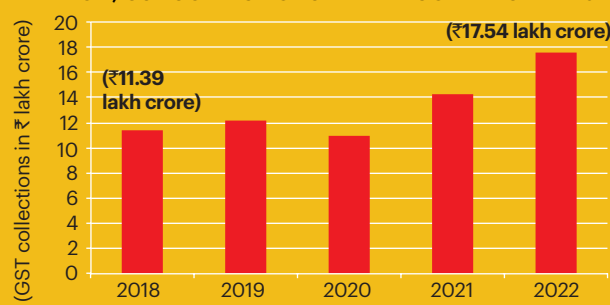
IN 2022, RETAIL INFLATION REMAINED MOSTLY ABOVE RBI'S TOLERANCE LEVEL OF 6 PER CENT



Monthly retail inflation; base year 2012
Source: CMIE Economic Outlook

SWEET SPOT

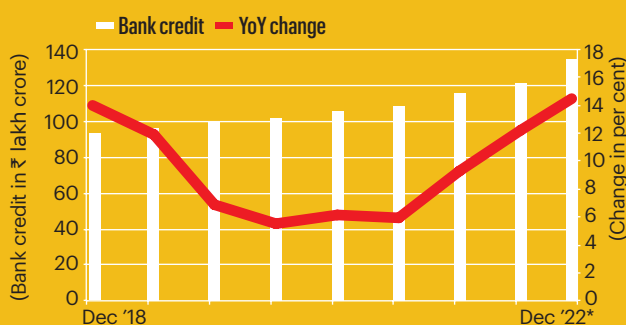
BUOYED BY ROBUST CONSUMPTION PATTERNS AND RISING INFLATION, GST COLLECTIONS HIT A RECORD HIGH IN 2022



Figures are GST mop-up
Source: CMIE Economic Outlook

CREDITWORTHY PERFORMANCE

BANK CREDIT, WHICH USUALLY SIGNALS AN ECONOMIC RECOVERY, CONTINUES TO GROW DURING THE MODI GOVERNMENT'S SECOND TERM

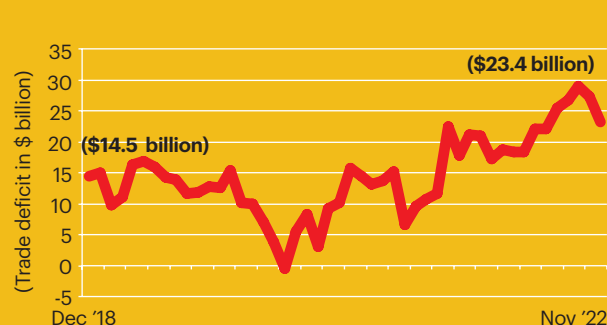


*Provisional figure

Source: CMIE Economic Outlook, RBI

SHAKY PULSE

THE TRADE DEFICIT, HOWEVER, WIDENED BY OVER 60 PER CENT SINCE DECEMBER 2018 DUE TO A RISE IN IMPORTS OF CRUDE OIL AND PETROLEUM PRODUCTS



Trade deficit figures are for respective months
Source: CMIE Economic Outlook